



Secondhand social capital: Boundary spanning, secondhand closure, and individual performance

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ABSTRACT

We move beyond the performance returns of individuals' direct network connections to study the effects of "secondhand" social capital, i.e., from the networks of one's contacts. We propose that certain colleagues may be more valuable to one's job performance than others when their spillovers of novel information combine with spillovers of the cooperation needed to obtain that novelty. In a study of 1273 research and development employees across 16 business units, we find that the most benefit to one's own performance comes from having ties that span business units and that also include secondhand closure (i.e., where one's contacts are each embedded in a constrained, dense network). Bridging the organizational boundary provides the novelty; and secondhand closure provides the cooperation. Further, by examining who in the network is constraining these contacts, we are able to trace their cooperative motivation both to reputational and organizational identity concerns, which each create a spillover of cooperation toward the focal individual, who reaps the returns.

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Network research emphasizes the benefits and detriments associated with people's involvement in workplace relationships (Brass et al., 2004; Burt et al., 2013). These connections facilitate the transfer of work-related knowledge and resources. Theorizing by network scholars largely centers on how direct connections to others can generate career advantages, including higher job performance (e.g., Ahuja et al., 2003; Mehra et al., 2001; Sparrowe et al., 2001), and thereby serve as a source of social capital (Burt, 2000). Beyond direct connections, the literature has explained that third parties influence knowledge sharing. Third parties enhance the novelty of shared knowledge due to the lack of connections among one's direct contacts (i.e., brokerage) (Burt, 1992; Granovetter, 1973; Rodan, 2010) or enhance cooperation to share knowledge through the presence of connections among one's direct contacts (i.e., closure) (Baker, 1984; Burt, 2005; Coleman, 1990; Granovetter, 1985). Thus, the literature offers well-researched explanations for how an individual's "firsthand" network, i.e., the degree and structure of connections among one's direct contacts, provides the social capital to benefit his or her own performance.

However, it remains less clear whether or how an individual's "secondhand" network, i.e., one's contacts' networks, may create value for one's own performance. To be sure, research on network centrality has incorporated to some extent the value in contacts' network configurations, in the form of betweenness, closeness, or eigenvector centrality (Bonacich, 1987). However, such research typically combines the impact of firsthand and secondhand (and thirdhand and so on) networks, making it difficult to see what impact, if any, a secondhand network has on performance. What little literature has focused on secondhand networks in particular has yielded ambiguous conclusions (Burt, 2007, 2010; Cummings and Cross, 2003). Specifically, this research demonstrates that secondhand brokerage, i.e., where each contact is situated in an unconstrained, sparse network, sometimes seems to matter and other times not. For instance, some research shows that contacts' seniority in the organization relative to the focal individual influences whether contacts' networks will produce beneficial spillovers of novel knowledge (Galunic et al., 2012), because senior contacts who act as brokers can share access to influence and expertise that may be unreachable without these relationships (Sparrowe and Liden, 1997, 2005). Conversely, other research finds no effects of

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